



THE EAST AFRICAN PORTLAND CEMENT COMPANY

Holding Life Together

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25 March 2014

Our ref: EAPCC/MD/NRB/002/VOL.II (102)

The Chief Executive
Capital Markets Authority
Embankment Plaza, Upper Hill
NAIROBI



Dear Sir

RE: THE EAST AFRICAN PORTLAND CEMENT COMPANY LIMITED

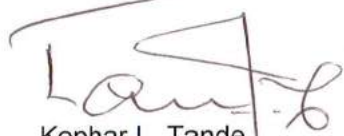
Following the Board Meeting of the above Company held today, we enclose the Half Year unaudited Consolidated Statement of Comprehensive Income, Consolidated Statement of Financial Position and Consolidated Statement of Cash Flows for the six months' period ended 31 December 2013 and the relevant commentary for your information and records.

The Directors do not recommend payment of a dividend for the six months' period ended 31 December 2013. Accordingly the books of the Company will not be closed.

Please note that the above results together with the relevant commentary will be published in the local newspapers on Thursday, 27 March 2014.

Kindly acknowledge receipt on the duplicate of this letter.

Yours faithfully


Kephar L. Tande
MANAGING DIRECTOR

Enclosure

✓ cc The Chief Executive
Nairobi Securities Exchange Limited
Nation Centre, 1st Floor
Kimathi Street
NAIROBI

EAST AFRICAN PORTLAND CEMENT COMPANY LIMITED - GROUP
REVIEW OF INTERIM FINANCIAL STATEMENTS

INTERIM CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER
COMPREHENSIVE INCOME
FOR THE SIX MONTHS PERIOD ENDED 31 DECEMBER 2013

	Note	Six months to 31 December 2013 KShs'000	Six months to 31 December 2012 KShs'000
REVENUE		4,567,292	4,549,385
COST OF SALES		(3,247,919)	(3,204,266)
GROSS PROFIT		1,319,373	1,345,119
Other operating income		126,428	42,447
EXPENSES			
Administration and selling expenses		(1,260,462)	(1,000,298)
PROFIT FROM OPERATIONS		185,339	387,268
FINANCE INCOME		130,630	158,750
FINANCE COSTS		(144,939)	(169,498)
PROFIT BEFORE TAXATION		171,030	376,520
TAXATION CREDIT/(CHARGE)	4	12,430	(49,327)
PROFIT FOR THE PERIOD		183,460	327,193
OTHER COMPREHENSIVE INCOME			
<i>Items that will may be reclassified subsequently to profit or loss:</i>			
Exchange differences on translation of foreign operations		(838)	3,712
TOTAL COMPREHENSIVE INCOME		182,622	330,905
EARNINGS PER SHARE			
Basic and diluted (KShs)	5	2.03	3.68

EAST AFRICAN PORTLAND CEMENT COMPANY LIMITED - GROUP

INTERIM CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2013

	Note	31 December 2013 KShs'000 (Unaudited)	30 June 2013 KShs'000 (Audited)
ASSETS			
Non Current Assets			
Property, plant and equipment	7	7,851,636	8,015,560
Capital work- in- progress		212,971	133,752
Intangible assets		19,995	39,977
Prepaid operating leases		11,434	11,497
Investment properties		2,225,046	2,225,046
Loan swap asset	8	1,941,512	2,044,066
Restricted deposits		62,433	61,742
		12,325,027	12,531,640
Current assets			
Inventories		2,496,735	2,191,123
Trade and other receivables		1,333,527	883,028
Amount due from related party		6,030	6,030
Tax recoverable		118,863	119,262
Short term deposits		30,922	29,558
Bank balances and cash		94,142	373,062
		4,080,219	3,602,063
Total assets			
		16,405,246	16,133,703
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	9	450,000	450,000
Share premium		648,000	648,000
Asset revaluation reserve		1,900,899	1,900,899
Retained earnings		4,270,352	4,086,892
Foreign currency translation reserve		3,628	4,466
Total equity		7,272,879	7,090,257
Non current liabilities			
Staff gratuity		706,467	677,904
Loan swap liability	8	1,764,008	1,895,374
Long - term loan	10	2,263,591	2,357,448
Obligations under finance leases	10	42,853	43,155
Deferred tax liability		737,027	750,087
		5,513,946	5,723,968
Current liabilities			
Current portion of long - term loans	10	301,088	324,945
Obligations under finance leases	10	29,298	48,534
Bank overdraft		688,802	853,223
Trade and other payables		2,526,808	1,944,894
Provisions		72,425	147,882
		3,618,421	3,319,478
Total equity and liabilities			
		16,405,246	16,133,703

EAST AFRICAN PORTLAND CEMENT COMPANY LIMITED - GROUP

INTERIM CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE SIX MONTHS PERIOD ENDED 31 DECEMBER 2013

GROUP	Share capital KShs'000	Share premium KShs'000	Asset revaluation reserve KShs'000	Retained earnings KShs'000	Foreign currency translation reserve KShs'000	Total KShs'000
At 1 July 2012	450,000	648,000	1,210,284	2,290,181	2,958	4,601,423
Transfer of excess depreciation	-	-	(21,328)	21,328	-	-
Profit for the year	-	-		1,775,383	-	1,775,383
Other comprehensive income	-	-	711,943	-	1,508	713,451
Total comprehensive income	-	-	711,943	1,775,383	1,508	2,488,834
At 30 June 2013	450,000	648,000	1,900,899	4,086,892	4,466	7,090,257
At 1 July 2013	450,000	648,000	1,900,899	4,086,892	4,466	7,090,257
Profit for the period	-	-	-	183,460	-	183,460
Other comprehensive income	-	-	-	-	(838)	(838)
Total comprehensive income	-	-	-	183,460	(838)	182,622
At 31 December 2013	450,000	648,000	1,900,899	4,270,352	3,628	7,272,879

EAST AFRICAN PORTLAND CEMENT COMPANY LIMITED - GROUP

INTERIM CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE SIX MONTHS PERIOD ENDED 31 DECEMBER 2013

	Note	Six Months to 31 December 2013 KShs'000	Six Months to 31 December 2012 KShs'000
CASH FLOWS FROM OPERATING ACTIVITIES			
Cash generated from/(used in) operations		222,654	(157,178)
Interest paid		(157,510)	(142,181)
Interest received		2,194	1,341
Income tax paid		(230)	(543)
Net cash generated from/(used in) operating activities		67,108	(15,795)
CASH FLOWS FROM INVESTING ACTIVITIES			
Purchase of property, plant and equipment		(78,273)	(86,016)
Additions to capital work-in-progress		(79,219)	-
Investment in restricted deposits		(691)	-
Net cash used in investing activities		(158,183)	(86,016)
CASH FLOWS FROM FINANCING ACTIVITIES			
Receipt of asset finance loan		221,632	26,777
Repayment of lease obligation		(19,538)	(24,728)
Loan repayment		(223,316)	(205,677)
Net cash used in financing activities		(21,222)	(203,627)
DECREASE IN CASH AND CASH EQUIVALENTS		(108,156)	(273,848)
Effect of foreign currency translation reserve		(838)	-
CASH AND CASH EQUIVALENTS AS AT BEGINNING OF PERIOD		(450,603)	(371,807)
CASH AND CASH EQUIVALENTS AT THE END OF THE PERIOD		(563,738)	(645,655)

EAST AFRICAN PORTLAND CEMENT COMPANY LIMITED - GROUP

NOTES TO THE CONDENSED CONSOLIDATED FINANCIAL STATEMENTS FOR THE PERIOD ENDED 30 DECEMBER 2013

1 BASIS OF PREPARATION

The condensed financial statements have been prepared in accordance with International Accounting Standard 34, Interim Financial Reporting.

2 SIGNIFICANT ACCOUNTING POLICIES

The condensed financial statements have been prepared under the historical cost convention, except for the revaluation of certain properties and financial instruments.

The same accounting policies, presentation and methods of computation have been followed in these condensed financial statements as were applied in the Group's audited financial statements for the year ended 30 June 2013.

3 SEGMENT REPORTING

Segmental reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the Chief Operating Decision Maker (Board of Directors). Management then allocates resources to and assesses the performance of the operating segments of the Group.

Segment result is segment revenue less segment expenses.

Segment revenue is the revenue that is directly attributable to a segment plus the relevant portion of the group's revenue that can be allocated to the segment on a reasonable basis.

Segment expenses are expenses resulting from the operating activities of a segment plus the relevant portion of an expense that can be allocated to the segment on a reasonable basis.

Segment assets and liabilities comprise those operating assets and liabilities that are directly attributable to the segment or can be allocated to the segment on a reasonable basis.

Capital expenditure represents the total cost incurred during the year to acquire segment assets (property, plant and equipment) that are expected to be used during more than one year.

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker (Board of Directors). Directors allocate resources to and assess the performance of the operating segments of the company. The operating segments are based on the company's management and internal reporting structure.

The directors consider the company to comprise one business segment, manufacture and sale of cement, and two geographical segments, Kenya and Uganda.

	6 months to 31 December 2013 KShs'000	6 months to 31 December 2012 KShs'000
Kenya	4,398,697	4,399,087
Uganda	168,595	150,298
Total	4,567,292	4,549,385

EAST AFRICAN PORTLAND CEMENT COMPANY LIMITED- GROUP

NOTES TO THE CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (Continued)

4 INCOME TAX CHARGE

The interim period income tax charge is based on the interim tax computation which resulted in a tax credit (6 months ended 31 December 2012: effective tax rate of 13%).

5 EARNINGS PER SHARE

Basic earnings per share is arrived at by dividing the net profit attributable to shareholders by the weighted average number of ordinary shares in issue during the period, as shown below:

	GROUP	
	2013	2012
Profit attributable to Shareholders (KShs'000')	182,622	330,905
Weighted average number of ordinary Shares ('000')	90,000	90,000
Basic earnings per share (KShs)	2.03	3.68

The basic and diluted earnings per share are the same as there were no potentially dilutive shares outstanding at 31 December 2013 or at 31 December 2012.

6 DIVIDENDS

During the interim period, no dividends were paid to the shareholders (2012: Nil).

7 PROPERTY, PLANT AND EQUIPMENT

During the period, the Group spent approximately KShs 157 million on additions to property plant and equipment and incurred a depreciation charge of KShs 242 million. There were no disposals in the current period.

8 LOAN SWAPS

The fair value of the loan swaps declined due the strengthening of the Kenya shilling against the USD as well as settlement of maturing contracts.

	31 December 2013 KShs'000	31 December 2012 KShs'000
Loan Swap Asset	1,941,512	2,044,066
Loan Swap Liability	(1,764,008)	(1,895,374)
	177,504	148,692

EAST AFRICAN PORTLAND CEMENT COMPANY LIMITED- GROUP

NOTES TO THE CONDENSED CONSOLIDATED FINANCIAL STATEMENTS (Continued)

9 ISSUED CAPITAL

Issued capital as at 31 December 2013 amounted to KShs 450 million. There were no movements in the issued capital of the Company in either the current or the prior interim reporting periods.

10 BORROWINGS

During the period, the Group obtained new asset finance loans amounting to KShs 221 Million to purchase plant and machinery. Repayments of existing loans amounting to KShs 243 million were made in line with previously disclosed repayment terms. Translation gains amounting to KShs 65 million were reported.

11 CONTINGENCIES AND COMMITMENTS

There have been no significant changes in contingent liabilities or contingent assets since 30 June 2013.

12 EVENTS AFTER THE END OF THE REPORTING PERIOD

There have been no material events subsequent to the end of the interim reporting period.

13 INTERNAL CONTROL ISSUES

As would be expected from the limited scope of the work carried out in respect of a half year review, our procedures did not go into the depth capable of developing a fully fledged management letter. However we plan to prepare a brief letter to management at the conclusion of the interim audit scheduled for June 2014, highlighting any areas we believe will require urgent attention during the remainder of the 2013/2014 financial year.

14 APPROVAL OF INTERIM FINANCIAL STATEMENTS

The interim financial statements were approved by the board of directors on 25 March 2014.